

Roof Lifecycle Cost Analysis

Planned maintenance is projected to save the owner of a typical Laurel apartment property **\$274K** over the next 20 years.

About 32% less than reactive repair: \$189K lower spending plus \$85K more roof life at year 20. Range \$123K–\$370K from conservative to upside assumptions; \$144K in today's dollars at a 7% discount rate.

MARKET	PROPERTY	ROOF AREA	SYSTEM	AGE · CONDITION	NEW ROOF TODAY
Laurel	Multi-Family	30,000 sq ft	TPO	8 yrs · Good	\$231K

PAXSEAL NET COST

\$594K

\$571K spent + \$139K roof used
– \$116K roof left

REACTIVE NET COST

\$868K

\$760K spent + \$139K roof used
– \$31K roof left

VALUE PROTECTED

\$185K

\$10K/yr more NOI at a 5.6% cap rate, if the owner pays for the roof

ROOF PRICES

2× in 15 yrs

At 4.6%/yr, the long-run trend in commercial roofing costs

Cumulative roof spending, next 20 years

Nominal dollars. Vertical jumps are full roof replacements.



Roof life

When each scenario needs a new roof.



Where the savings come from

20-year totals

	PAXSEAL	REACTIVE	SAVINGS
PaxSeal fees	\$126K	—	-\$126K
Repairs paid by owner	\$56K	\$415K	+\$359K
Expected storm damage	\$10K	\$14K	+\$4K
Roof replacements	\$379K	\$331K	-\$48K
Cash spending	\$571K	\$760K	+\$189K
Current roof value used	\$139K	\$139K	—
Roof life left at year 20	-\$115K	-\$31K	+\$84K
Net 20-year cost	\$594K	\$868K	+\$274K

What this means

- 1 A later replacement. The next new roof moves from year 8 to year 11, leaving 10 years of roof life at year 20 instead of 2.
- 2 Smaller repairs. Emergency repairs run about 3.8× the planned rate in an apartment property, and the PaxSeal fee covers half of planned repairs. Together that saves \$359K.
- 3 Fewer unit turns. A leak into an apartment means displaced residents, mold risk and lost rent. Early repairs keep units occupied.
- 4 The program pays for itself. Each \$1 of fees avoids about \$2.50 of other cash roof costs.

Local risk profile

Prince George's County, MD (24033)

Thunderstorm wind / derecho, snow load

About 3–4 major regional roof-damaging events per 20 years, such as the 2010 snowstorms, the 2012 derecho and the 2016 blizzard. Expected storm damage to this roof over 20 years is **\$10K** if maintained and **\$14K** with reactive repair only, before insurance. A documented maintenance history also helps when an insurer reviews a claim.

Hail	Relatively Moderate	■■■■■
Strong wind	Relatively High	■■■■■
Tornado	Relatively High	■■■■■
Hurricane	Relatively Moderate	■■■■■
Winter weather	Very High	■■■■■
Ice storm	Relatively Moderate	■■■■■
FEMA National Risk Index rating		

Key assumptions

The basis for each figure in this analysis.

ASSUMPTION	VALUE	BASIS
Roof life	20 / 15 yrs	Maintained / reactive. Industry life tables; maintenance adds ~5 yrs (NRC Canada, warranties)
Roof cost growth	4.6%/yr	BLS Producer Price Index, nonresidential roofing, 2007–2025
Replacement cost	\$7.70/sq ft	Laurel contractor price ranges
Reactive repair cost	3× planned × 1.25	Industry estimates; ×1.25 for leak damage (apartment property). PaxSeal fee covers half of planned repairs
Storm damage	0.13%/yr	Of roof cost, before insurance; ×1.5 if reactive. FEMA National Risk Index
PaxSeal fee	\$4,700/yr	Year 1, rising 3%/yr. Estimate; your proposal states the actual fee
Cap rate	5.6%	Laurel multi-family market reports

Next step: a roof assessment and a written PaxSeal proposal for this building. Call PAX Services Group at 1-855-729-7510 or email info@paxserv.com.

Estimates, not a quote. Projections from Laurel market research and industry data, in nominal dollars. The PaxSeal fee is an estimate; your proposal states the actual price. Net cost includes wear on the current roof, less roof life left at year 20; both roof-value figures are in today's dollars. Storm damage is before insurance. Property value is the yearly gain in net operating income divided by the cap rate, for income property where the owner pays for the roof.